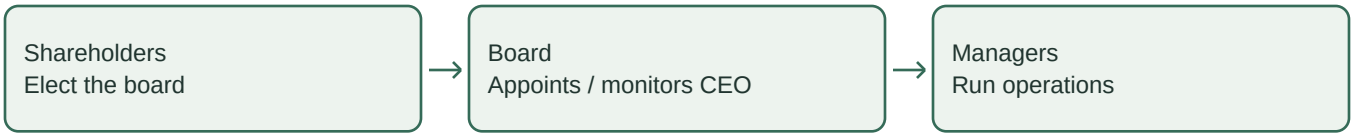
Ownership, control & cash claims



Governance flow: ownership and day-to-day control are separate.

A. Alder Tools - distribution worksheet

Pretax corporate earnings	$1,000.00
Assumed corporate tax rate	20%
Payout policy	Distribute all after-corporate-tax earnings
Shares outstanding	100 identical shares
Maya owns	10 shares
Assumed dividend tax rate	25%

Hypothetical C corporation; no other taxes, fees, or deductions. Calculate corporate tax first, then the dividend tax on the amount actually distributed. Rates are exercise assumptions, not current tax rules.

B. Claims and funding map

Equity	Residual claim after creditors; dividends are discretionary
Debt	Contractual payments; default may transfer control
New share issue	Investor cash flows to the issuing company
Investor resale	Buyer cash flows to the selling investor

Assume no personal guarantees. Limited liability protects personal assets; it does not protect the amount invested in shares.

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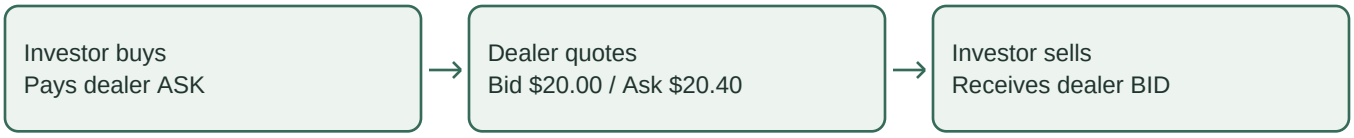

C. Unchanged quote; sufficient depth for 25 shares; no commission or other fees.

C. Trade ticket

Order size	25 shares
Bid per share	$20.00
Ask per share	$20.40

An immediate purchase and resale uses the ask first and the bid second. The company issues no new shares in this trade.

D. Fresh distribution case - Birch Works

Pretax earnings	$2,000.00
Assumed corporate tax rate	25%
Payout policy	Distribute all after-corporate-tax earnings
Maya ownership	20% of identical shares
Assumed personal dividend tax rate	20%

Calculate the total taxes across the company and all shareholders, or Maya's personal cash, as requested. No other taxes or deductions.

E. Decision memo

Proposal A	A project raises long-run firm value
Proposal B	A prestige office benefits the CEO but lowers firm value
Social spillover	Neither proposal's private cash flows price every effect on outsiders

Evaluate owner-manager incentives separately from effects on society. Bankruptcy reorganization may preserve a viable operating business.